

7239.T pitch deck

PITCH — 7239.T — VERDICT

ADJUDICATED 2026-08-20 — ADVANCE TO COURT — the one name where the TSE mechanism actually applies

Tachi-S Co., Ltd. (7239.T) — automotive seat maker, Tokyo Stock Exchange Prime. No position. No orders. No sensors armed.

What we believe

Tachi-S makes car seats, mostly for Nissan and its affiliates. The market values the whole company at about ¥78.8 billion. The company holds roughly ¥41.7 billion in net cash and carries essentially no debt (debt-to-equity 0.04). So if you buy the stock today, more than half of what you pay is cash sitting on the balance sheet, and you're paying roughly ¥37 billion for a business that the bull case says throws off about ¥8.8 billion of free cash a year.

That is the entire argument in one sentence: **you may be paying about four years of cash flow for the operating business, with the cash pile handed to you for free.**

Two things make us think this could actually get resolved rather than sit cheap forever:

1. **It trades below the value of its own net assets.** Price-to-book is 0.74 — the market says the company is worth less than the accounting value of what it owns. We verified this against live data on 2026-08-20.
2. **The Tokyo Stock Exchange is leaning on exactly this.** Since 2023 the TSE has been publicly pressuring Prime-listed companies trading below book value to publish plans to fix it — raise the dividend, buy back stock, sell non-core assets, or explain themselves. Tachi-S is a **Prime** listing at real scale. That pressure is a live, named, institutional force on this specific company. ([JPX follow-up on “Action to Implement Management that is Conscious of Cost of Capital and Stock Price”](#))

This last point is why this name survived and its cohort-mates didn't. We looked at a basket of cheap Japanese companies sitting on cash. Most of them are small companies on the TSE's *Standard* market, where that reform pressure is far weaker and the free float is too thin to matter. Tachi-S is the one name in the group where the mechanism the whole idea depends on genuinely applies.

Meanwhile the dividend is **4.94%** — and we get paid that while waiting.

What the market believes

The market is not confused about the balance sheet. It can see the cash. What it doesn't believe is that the cash flow is durable, and here is why that's a reasonable position:

- **Tachi-S is a component supplier, not a brand.** Its operating margin is about 4.1%. That is thin. A customer demanding a 5% price cut can wipe out most of the profit.
- **Its biggest customer is Nissan, which is restructuring.** Nissan is closing plants and cutting volume. Seats are made near the plants that install them. Fewer plants means stranded capacity for the supplier.
- **China is in an automobile price war.** Domestic Chinese brands are cutting prices hard, and the Japanese makers are losing share there. Tachi-S has plants exposed to that market.
- **The capital spending footprint is global and heavy.** Seat plants are physical, located near assembly lines, and expensive to relocate or shut.

So the market's view is: *the cash is real, the earnings that produced it are not safe, and the company will spend the cash defending a shrinking business rather than returning it.* That is a coherent thesis. It is not a mispricing on its face.

And one uncomfortable fact that neither of our review teams mentioned: **the stock is not beaten down.** It trades at ¥2,327 against a 52-week high of ¥2,354 and a 52-week low of ¥1,894. It is **1.1% below its one-year high** and **23% above its one-year low.** Whatever this is, it is not a stock the market has just abandoned. Someone has already been buying.

Why we might have edge

Being honest about which of these are real edges and which are just reasons we like it:

Possibly real edge: - Cohort selection. We screened a group of cheap, cash-rich Japanese companies and then asked a question most screens don't: *does the reform mechanism I'm relying on actually apply to this listing?* For most of the cohort the answer was no — wrong market tier, too small, no float. That filtering step is a genuine process advantage over a raw low-price-to-book screen. -

Adverse-selection awareness on the customer. We already hold 7222 (Nissan Shatai), another company in the Nissan chain. That means we have context on the Nissan restructuring that a first-look investor wouldn't. It also means we have a concentration problem — see below. The context is an edge; the concentration is a liability.

Not edge, though it feels like it: - The cheapness itself. Price-to-book 0.74 with net cash is visible on every screen in Japan. Thousands of people can see it. If the only reason to own this is "it's cheap on book," we have no edge at all. - The dividend yield. Also visible to everyone.

Why it might be priced in

- **The stock is at its one-year high.** If our thesis is "the market hasn't noticed the cash," the tape disagrees. A stock 1% off its high has been noticed.

- **The whole Japanese value-and-governance trade is crowded.** Foreign investors have been buying cheap Japanese balance sheets on the TSE-reform story for three years. We would be arriving late to a well-attended argument.
- **Low price-to-book can be correct.** A company earning a 4% margin in a shrinking end market *should* trade below book, because the book assets — plants near dying assembly lines — may not be worth book.
- **A buyback we can't predict is not an edge.** “TSE pressure sustains buybacks” is a hope about corporate behavior on an unknown schedule. That is the weakest load-bearing part of the bull case, and it was stated in our own blue-team write-up as if it were a fact.

What we checked ourselves

Our two review teams (a “red” team arguing to reject, a “blue” team arguing to buy) were run **outside our normal research pipeline** — they came from a separate Gemini Antigravity court on 2026-08-20 and were imported as-is. Our desk then re-verified the load-bearing claims against live data. Errors on both sides are listed plainly.

Claim	How checked	Found	Confirmed?
Dividend yield 4.5% (blue team)	Live quote pull, 2026-08-20 JST	4.94% — blue understated it	No — bench error, in our favor. Blue used a stale figure.
Price-to-book 0.74	Live quote pull, 2026-08-20	0.74	Yes
Near-zero debt	Live balance-sheet fields	Debt/equity 0.04; equity ¥104.9B	Yes
TSE Prime listing at meaningful scale	Listing tier + market cap check	Prime; cap ¥78.8B — the only large name in the cohort	Yes. This is the finding that promoted the name.
Net cash ¥41.7B = “54.3% of market cap” (blue team)	Arithmetic against today's cap	¥41.7B ÷ ¥78.8B = 52.9% . 54.3% implies a cap of ~¥76.8B — a stale price.	Partially — bench arithmetic error. Direction unchanged, magnitude overstated ~1.4 points.
Free cash flow ¥8.8B, an 11.5% yield	Attempted line-level check	Plausible against ¥170B of assets; not traced to a filing line item	No — UNVERIFIED. This is the single number the valuation rests on and we have not confirmed it.
“China price-war collapse; OEM cost squeeze on 4.1% margin; heavy capex” (red team, 8/10 reject)	Read for supporting evidence	Three assertions, zero numbers — no China revenue share, no margin sensitivity, no capex figure	No — bench error. A conviction-8 rejection with no quantities attached. The <i>risk</i> is real; the case was not made.

Claim	How checked	Found	Confirmed?
The tape	52-week range check	¥2,327 vs high ¥2,354 / low ¥1,894 — 1.1% off the high, +23% off the low	Neither team checked this. Both argued a deep-value case about a stock sitting at its highs. This is the biggest miss on either side.
Concentration with existing holdings	Portfolio cross-check	We already own 7222 Nissan Shatai — same parent-credit chain. Adding 7239 doubles the same bet.	No — neither bench flagged it. Caught only at adjudication.
Company filings in the evidence pack	Automated pack build	Empty. No entity ID, no filings, no quarterly financial statements — our pack is built for US filers and returned nothing for a Japanese issuer.	No. Every company-level number here comes from a data aggregator, not from the company's own filing.
"AAGS was the convertible-bond allottee" (from a February disclosure)	—	Not attempted	No — still owed.

Primary sources of record for this name (what we should be reading, and mostly haven't): company disclosures on TDnet (https://www.release.tdnet.info/inbs/I_main_oo.html) and EDINET (<https://disclosure2.edinet-fsa.go.jp/>), plus the TSE reform program page cited above. The quote and ratio data we verified came from <https://kabutan.jp/stock/?code=7239> — an aggregator, which is a step below primary and should be replaced.

PROPOSED ENTRY BANDS

The courts say no entry. There is no buy here today, at any price, and no size. The reopen conditions are reproduced exactly as adjudicated — these are not our invention and are not negotiable downward:

- Full desk court (red+blue, fresh) before any position
- AAGS/CB verify
- Nissan-chain concentration: 7222+7239 combined exposure stated before sizing

What that means in practice:

- **Entry price: none.** No level authorizes a purchase. The imported courts were run outside our pipeline and cannot license a position; a fresh red/blue court on our own bench is a hard precondition.
- **Size: cannot be set.** Sizing is blocked until the combined 7222 + 7239 exposure is written down as a single number. Both are Nissan-chain suppliers; owning both is one bet on Nissan's restructuring, not two ideas.
- **Adds / trims / exits: not applicable.** We own nothing.

Levels worth watching while the gates are closed — these are observation marks, not orders:

- **¥1,894** — the 52-week low. Note that this is also roughly $0.60\times$ book value (book is about ¥3,145 per share). At that price you'd be paying about ¥663 per share for the operating business after backing out ~¥1,231 per share of net cash. If the stock gets there, red's China case is probably winning — which makes it the interesting price *and* the frightening one.
- **¥2,354** — the 52-week high. A clean break above it means the re-rating is happening without us and the “unnoticed value” framing is dead.
- **Robustness note for whoever runs the fresh court:** at ¥8.8B of free cash flow the operating business trades at about $4.2\times$ cash flow. Even if that number is *half* wrong — ¥4.4B — it's about $8.4\times$. The thesis does not require the unverified figure to be exactly right. It does require it to not be a fiction, which we have not yet established.

Catalyst dates: we do not have a confirmed one. No company announcement in our pack names the next earnings date. Based on the March fiscal year-end, a half-year report would normally land in **early November 2026** — treat that as pattern-derived and unconfirmed until a company release states it. The February convertible-bond disclosure referenced by the blue team needs its date pinned down; “Feb-25” is ambiguous in our notes and could mean February 2025 or the 25th of February.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 2100.0 (deck-provisional: first meaningful pullback from the high; triggers a tape re-read, not a bid)
- dated pack 7239.T|2026-11-06: 7239.T: expected half-year results (March fiscal year-end pattern) — NOT named by any company release; pattern-derived only (date confirmed=
- dated pack 7239.T|2027-02-05: 7239.T: expected Q3 results — pattern-derived only (date confirmed=False)
- dated pack 7239.T|2026-02-25: 7239.T: convertible-bond disclosure referenced by blue team as the AAGS allottee source; date ambiguous in desk notes (could be Feb 2025) (d

What remains unverified

1. **Free cash flow of ¥8.8 billion.** Not traced to a filing. The valuation case is built on it.
2. **All company financials.** Our automated evidence pack returned nothing for this issuer — no filings, no quarterly statements. Everything here is from an aggregator. Nothing has been read from a TDnet or EDINET document.
3. **China exposure, quantified.** We do not know what share of revenue or profit comes from China. Red's rejection depends on this and never stated it.
4. **Nissan concentration, quantified.** We don't know what share of Tachi-S revenue is Nissan-chain, and we haven't stated our combined 7222 + 7239 position size.

5. **The AAGS convertible-bond allottee question**, and the correct date of the February disclosure.

6. **Whether management has actually published a TSE cost-of-capital response plan.**

The whole reform argument assumes the pressure translates into action at this company specifically. We have verified that Tachi-S is in the pressured group. We have not read what, if anything, it has said in reply.

7. **Whether the cash is genuinely distributable** — or committed to capital spending, pensions, or customer-support obligations. Net cash on a screen is not the same as cash a board is willing to hand out.

8. **Why the stock is already at its highs.** Someone knows something we haven't found. Until the fresh court explains the last 23%, we're the least-informed buyer in the room.

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